

An SIF is a Sebi-regulated pooled investment product, like a mutual fund, but with more flexibility. Fund managers can offer long-short equity derivative strategies, multi-asset allocation, and commodity derivatives. It could be a good option for experienced investors seeking regulatory safeguards of mutual funds but flexibility of PMS and AIFs at a far lower entry barrier. The key advantage is their flexibility, Mittul Kalawadia, Senior Fund Manager at ICICI Prudential AMC, tells *Business Today*.

SIFs are allowed to invest in derivatives whereas traditional mutual funds can do so in a limited way. Derivatives act as a hedge by offsetting potential losses in an asset through an opposite position. This can help SIFs limit losses, particularly during prolonged market downturns.

RISING INVESTOR INTEREST

qSIF Equity Long-Short Fund was India's first SIF, launched in September 2025. As of June 2026, there were 27 SIF schemes in the market, with the largest number of funds (nine) in two categories—equity long-short and hybrid long-short. The net assets under management (AUM) of the SIF segment stood at ₹17,858 crore, up 29% from ₹13,814 crore in May 2026, according to data from the Association of Mutual Funds of India (AMFI).

The response to SIFs reflects the evolution of the Indian investor, who has become far more aware of asset allocation, risk management and need for differentiated return streams, says Radhika Gupta, MD and CEO of Edelweiss Mutual Fund.

The asset manager runs Altiva SIF, which currently offers two schemes—the Equity Ex-Top 100 Long-Short Fund and the Hybrid Long-Short Fund.

“What excites us about SIFs is that they democratise access to strategies that were historically available only through more exclusive structures. Investors today are not just chasing returns; they are looking for better portfolio outcomes, diversification and resilience across market cycles,” Gupta tells *BT*.

By taking derivative positions, SIFs seek to protect portfolios from downside risks, particularly during bear markets, while retaining some upside potential. As a result, they are expected to be less volatile and deliver steadier, risk-adjusted returns over a market cycle than conventional mutual funds.

Equity markets have been volatile this year amid the West Asia conflict. SIFs, with their ability to take derivative positions, have delivered better outcomes than some mutual funds, and that may have helped attract more investors, according to Venkat Chala-

UNDERSTANDING SIFs

➔ **THEY ARE SEBI-REGULATED POOLED INVESTMENT PRODUCTS, LIKE MUTUAL FUNDS**

➔ **SIFs ARE MORE FLEXIBLE IN TERMS OF INVESTMENT STRATEGIES**

➔ **FUND MANAGERS CAN INVEST ACROSS EQUITY, DEBT, COMMODITIES, REITs AND INVITs**

➔ **THEY CAN HOLD UNHEDGED (NAKED) SHORT POSITIONS THROUGH DERIVATIVES, UP TO 25% OF THE ASSETS**

➔ **TAX TREATMENT IS LIKE MUTUAL FUNDS. SO, EQUITY-ORIENTED FUNDS WILL INCUR SHORT-TERM CAPITAL GAINS TAX OF 20% IF HELD FOR UNDER A YEAR; LONG-TERM CAPITAL GAINS TAX IS 12.5%**

sani, the CEO of the Association of Mutual Funds in India (AMFI). But the same strategies that protect portfolios in falling markets can also cap upside during prolonged bull runs. “Post launch, market volatility was extremely high. Taking naked derivative positions helped these people give reasonably better results when compared to what we are getting in the mutual fund space. That is attracting some good flows into the market,” Chalasani tells *BT*. Early adopters have largely been experienced investors and